Contract Management and Renewal Procedure

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Summary. Defines how Northstar Systems drafts, reviews, signs, stores, monitors and renews contracts, including when Legal review is mandatory, signatory authority under the Delegation of Authority, auto-renewal approval, renewal alerts, amendments and termination.

SYNTHETIC DOCUMENT - Northstar Systems is a fictional company. This document exists for development, testing and demonstration only and is not real legal, employment, security or compliance advice.

1. Purpose and Scope

This procedure sets out how contracts are managed at Northstar Systems Private Limited from request to expiry. It covers contracts where Northstar is the buyer, such as vendor, software, cloud, facilities and consulting agreements, and describes the controls that apply to renewals, amendments and terminations. It is owned by the General Counsel and is used by budget owners, managers, Procurement staff, Finance staff and Legal.

The contracts repository sits inside NorthBuy. Every contract that creates a payment obligation or a data-sharing obligation must be recorded there. A contract that exists only in an email inbox or on a personal drive is treated as unmanaged and must be uploaded to the repository as soon as it is discovered.

This procedure does not cover employment contracts (handled by the People Team), customer subscription agreements signed by sales (handled under customer contracting rules owned by Legal), or the purchase approval itself, which follows the Delegation of Authority in OPS-001. Vendor onboarding is covered in OPS-004 and vendor security assessment in SEC-011.

All references to law, regulation or statutory terms in this document are illustrative; to be verified by Legal before external use.

2. Definitions

- **Contract**: any written agreement, order form, statement of work, click-through or signed quotation that binds Northstar to pay money, deliver services, share data or accept liability.
- **Contract owner**: the budget owner or manager named in NorthBuy who is accountable for performance, renewal and termination decisions.
- **Standard terms**: the Northstar template agreements approved by Legal, including the master services agreement, the NDA and the DPA.

- **Non-standard terms**: any change to liability, indemnity, termination, intellectual property, data protection, governing law, exclusivity or payment terms compared with the standard template.
- **Contract year value**: the total committed amount for each 12-month period of the contract, used to apply approval thresholds.
- **Auto-renewal clause**: a term under which the contract continues for a further period unless one party gives notice.
- **Signatory**: the person with authority under the Delegation of Authority to sign for Northstar.

3. Roles and Responsibilities

Role	Responsibility
Contract owner	Requests the contract, supplies business terms, monitors performance, acts on renewal alerts
Procurement Desk	Runs the sourcing process, ensures the vendor is onboarded, uploads signed contracts to NorthBuy
Legal	Reviews contracts that meet the Legal review triggers, maintains standard templates
General Counsel	Approves auto-renewal clauses, approves deviations from standard terms, owns this procedure
Finance Controller	Checks payment terms, budget availability and tax treatment
Signatory	Signs after confirming review and approvals are complete
Security (CISO delegate)	Confirms security and data protection terms for vendors that handle Confidential or Restricted data

4. Contract Lifecycle Overview

A contract moves through seven stages: request, drafting, review, approval, signature, storage and monitoring, and renewal or termination. The contract owner is accountable at every stage, even when Procurement or Legal does the work. The sections below describe each stage and the decision rules that apply.

5. Request and Drafting

The contract owner starts a contract request in NorthBuy after the purchase has been approved under the Delegation of Authority and after the vendor has been onboarded in the vendor master. The request must state the vendor, the service, the term, the contract year value, the cost-centre code, the data to be shared and any non-standard terms the vendor has asked for.

Where possible, Northstar standard terms are used. Procurement attaches the template that fits the purchase, such as the master services agreement for services or a software licence template for software. If the vendor insists on its own paper, Procurement must flag that to Legal before negotiation begins, not after.

A purchase order must exist before any commitment is made. A contract signed before a PO exists is a policy breach and must be reported to the Finance Controller for retrospective review. The commitment is not treated as valid for payment until the review is complete.

6. When Legal Review Is Required

Legal review is mandatory when any one of the following is true:

1 The contract value is above INR 5,00,000 (measured per contract year value for recurring contracts, and in total for one-off contracts).
2 The contract has any multi-year term, meaning a committed term longer than 12 months.
3 The contract contains any non-standard terms, regardless of value.

A contract may also be sent to Legal voluntarily, and the department head may require review for lower-value contracts with unusual risk. Legal normally returns its first review within 5 business days of receiving a complete package: the draft, the business summary and the vendor details. Complex negotiations take longer, and Legal tells the contract owner the expected date.

Contracts that meet none of the three triggers and use unmodified standard terms do not need Legal review, but they must still be uploaded to NorthBuy and approved under the Delegation of Authority.

Example: The Engineering department wants a 12-month licence for a code-scanning tool at INR 3,20,000 on the vendor's own standard licence terms. The value is below INR 5,00,000 and the term is 12 months, but the vendor's paper counts as non-standard terms, so Legal review is required.

Example: Operations wants to renew a courier services agreement for the same price and terms as last year, using Northstar's template, for INR 90,000 for one year. None of the triggers apply, so Legal review is not needed. The reporting manager or department head approves according to the amount.

7. Approvals and Signatory Authority

Signing authority follows the Delegation of Authority (DoA). The signatory for a contract is the approver for the contract year value. The following table is reproduced for convenience; OPS-001 is the authoritative source.

Contract year value (INR)	Approver and signatory
up to 10,000	Reporting manager (Band B4 or above)
10,001 to 50,000	Department head
50,001 to 2,00,000	Director (Band B6) and Finance Controller
2,00,001 to 10,00,000	CFO
above 10,00,000	CFO and CEO jointly

Key rules:

- No one may approve or sign their own request, and approvers cannot be below Band B4.
- A multi-year contract is measured by the highest contract year value for approval, unless the total commitment would place it in a higher band, in which case the higher band applies.
- Splitting a contract into smaller agreements or order forms to stay under a threshold is prohibited, and Finance reviews repeated contracts with the same vendor for this pattern.
- Unbudgeted spend above INR 1,00,000 needs CFO approval in addition to the DoA approver.
- Where Legal review is required, the signatory must not sign until Legal has confirmed in NorthBuy that its review is complete.

Sourcing rules apply before the contract stage. Purchases above INR 3,00,000 need a formal RFP run through NorthBuy and Procurement Committee review; purchases above INR 25,00,000 need Procurement Committee plus CFO sign-off. These steps must be complete before a contract is drafted.

8. Auto-Renewal Clauses

Auto-renewal clauses are a common source of unplanned spend and are controlled strictly. Any contract containing an auto-renewal clause needs General Counsel approval before signature, even when the value is low and the contract would otherwise not need Legal review. The approval is recorded in NorthBuy.

When approving, the General Counsel considers whether the renewal term is no longer than the original term, whether the notice window to stop renewal is reasonable, and whether price increases on renewal are capped. Where possible, Legal negotiates the clause so that the contract ends at expiry unless Northstar actively renews, or the notice window is short.

The contract owner must not accept a vendor's request to add or extend an auto-renewal clause by email, by an order form or by a click-through update. Any such request must go to Procurement and Legal.

9. Storage and Monitoring

After signature, Procurement uploads the fully signed contract, all annexures and the approval record to the NorthBuy contracts repository within 3 business days. The record must include the vendor, owner, start date, end date, notice period, contract year value, cost-centre code, payment terms, auto-renewal status and risk tier.

NorthBuy sends a renewal alert 90 days before expiry. The alert goes to the contract owner, the department head and Procurement. If the contract has a notice period longer than 60 days, Procurement sets an additional alert so that the notice date is never missed. Retention of contract records is 8 years after expiry (customer contracts follow the same schedule in the company retention rules), and a legal hold overrides the retention period.

The contract owner reviews performance at least once a year for contracts over INR 2,00,000 and at every renewal for all contracts. The review considers delivery, quality, service levels, invoices disputed, security incidents involving the vendor and whether the need still exists.

10. Renewal Procedure

1 On receiving the 90-day alert, the contract owner decides whether the contract is still required and records one of three outcomes in NorthBuy: renew, renegotiate or let expire.
2 If the outcome is renew or renegotiate, the contract owner raises a renewal request at least 60 days before expiry, stating the proposed term, price change and any changes in scope.
3 Procurement checks the market where the renewal value is above the quotation thresholds in OPS-001. For renewals above INR 3,00,000, Procurement should ask whether an RFP is warranted, especially if the vendor has held the contract for more than 3 years.
4 Legal reviews the renewal if any of the section 6 triggers apply to the new term. A renewal that turns a one-year contract into a multi-year contract always triggers Legal review.
5 Approvals follow section 7 using the new contract year value, not the old one.

6 The vendor's security status is refreshed in line with SEC-011: Critical vendors are reassessed annually and High vendors every 2 years.
7 Procurement uploads the renewed contract and updates dates in NorthBuy.

If the contract owner does not respond to the 90-day alert, Procurement sends a reminder at 60 days and escalates to the department head at 45 days. If no decision has been made by 30 days before expiry, the contract owner's department head must decide, and Finance may withhold new POs for that vendor until a decision is recorded.

Example: A cloud monitoring subscription of INR 6,40,000 per year expires on 31 March. The renewal alert arrives on 1 January. The contract owner, the Director of Engineering Operations, chooses to renegotiate and submits the renewal on 20 January. The renewal is for 2 years and includes an auto-renewal clause. Legal review is required because the value is above INR 5,00,000 and the term is multi-year, and the General Counsel must approve the auto-renewal clause. The CFO approves because the contract year value is between INR 2,00,001 and INR 10,00,000.

11. Amendments and Change Requests

An amendment changes the price, scope, term, service levels or any other clause of an existing contract. Amendments follow the same Legal review and approval rules as a new contract, and the contract year value used for approval is the revised amount. An amendment that increases the value by more than 20% or moves the contract into a higher DoA band must be approved by the approver for the new band.

Verbal agreements and email exchanges do not amend a contract. Purchase orders for additional work under an existing contract must reference the contract number. The contract owner must not authorise work outside the scope of the signed contract.

12. Termination and Expiry

A contract owner who wants to terminate early must consult Procurement and Legal before giving notice. Legal checks the termination clause, notice period, early termination fees and any obligations that survive termination, such as confidentiality and data return.

On expiry or termination, the contract owner must make sure of the following:

- Northstar data held by the vendor is returned or deleted, and the vendor confirms deletion in writing for Confidential and Restricted data.
- System access and integrations given to the vendor are removed through NorthDesk, and API keys and secrets stored in NorthVault are rotated.
- Final invoices are matched against the PO and the contract, and the vendor record is set to inactive if no further business is expected.
- NorthBuy is updated with the termination date and a short reason.

Termination for the vendor's material breach should be discussed with Legal before any payment is withheld.

13. Disputes and Non-Performance

When a vendor fails to deliver, the contract owner records the failure in NorthBuy, gives the vendor written notice through Procurement, and informs the Finance Controller so that payments can be

held in line with the contract. Legal decides on formal notices, cure periods and any claim for damages or service credits. Contract owners should not issue legal threats or settlement offers themselves.

14. Exceptions and Escalation

Exceptions to this procedure may be approved by the General Counsel in writing, recorded in NorthBuy, and are limited to a single contract. Urgent business needs do not remove the Legal review triggers. If a contract is needed urgently, the contract owner should tell Legal at the start so that review can be scheduled. Where a contract was signed without the required approvals, the contract owner must report it to the Finance Controller and Legal immediately. The matter may be treated as a policy breach and handled under the disciplinary ladder in HR policy.

Disagreements between Procurement and a contract owner are escalated to the department head, then to the CFO.

15. Frequently Asked Questions

Can I sign a vendor's click-through terms to start a trial quickly? Only if the trial is free, involves no Confidential or Restricted data and creates no payment obligation. Any click-through that binds Northstar to pay, to auto-renew or to share data is a contract and must follow this procedure. Use of unapproved tools is also restricted by the acceptable use rules.

Does a contract of INR 4,00,000 for one year on standard terms need Legal review? No. It is below INR 5,00,000, it is not multi-year and has no non-standard terms. It does need CFO approval, because INR 4,00,000 falls in the INR 2,00,001 to 10,00,000 band, and it needs a formal RFP or three written quotations as applicable, since it exceeds INR 3,00,000.

Who is the signatory for a two-year contract of INR 3,00,000 per year? Each contract year value is INR 3,00,000, which falls in the CFO band. Because the term is multi-year, Legal review is also required, and the total commitment of INR 6,00,000 is also within the CFO band.

What if the vendor sends a renewal invoice before we decide? The invoice must not be paid without a PO. The contract owner informs Procurement, who check the contract for auto-renewal and notice rights, and Legal advises on any disputed renewal.

Where do I find a signed contract? In the NorthBuy contracts repository, searchable by vendor, owner or contract number. Access to Restricted contracts, such as those with unreleased pricing, may be limited to Legal and Finance.

16. Related Documents

The approval limits and quotation rules are in OPS-001. Vendor onboarding is in OPS-004. Vendor security tiers and assessments are in SEC-011. The draft invoice processing SOP, OPS-009, will describe how invoices are checked against contracts once approved, but until then current practice follows the approved procedures listed here.

17. Revision History

Version	Date	Change
3.0	2025-05-12	Added auto-renewal approval by General Counsel

Version	Date	Change
3.2	2025-09-30	Added 90-day renewal alert escalation steps
3.4	2026-01-22	Clarified Legal review triggers and amendment rules